

## APPRAISAL OF REAL PROPERTY



### LOCATED AT

3812 Sparrow Circle  
Grand Island, NE 68803  
Lot 24, Block 1, Summerfield Estates Seventh  
Subdivision

### FOR

Bank, NA/Dept of Veterans Affairs  
000 Douglas Street  
Anywhere, NE 68102

### OPINION OF VALUE

\$230,000.00

### AS OF

December 20, 2010

### BY

Jared Brown  
Appraisals  
000 Locust Street  
Anywhere, NE 68802  
555/555-5726  
jbrown@training.sar



## Uniform Residential Appraisal Report

Case No.  
File # 34-34-6-2222TRA

The purpose of this summary appraisal report is to provide the lender/client with an accurate, and adequately supported, opinion of the market value of the subject property.

|                                                                                                                                                                                                |                                                        |                              |                                                                               |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------|------------------------------|-------------------------------------------------------------------------------|
| Property Address 3812 Sparrow Circle                                                                                                                                                           | City Grand Island                                      | State NE                     | Zip Code 68803                                                                |
| Borrower Jonathan Cash                                                                                                                                                                         | Owner of Public Record Bill Builder Construction, Inc. | County Hall                  |                                                                               |
| Legal Description Lot 24, Block 1, Summerfield Estates Seventh Subdivision                                                                                                                     |                                                        |                              |                                                                               |
| Assessor's Parcel # 400438TRA                                                                                                                                                                  | Tax Year 2010                                          | R.E. Taxes \$ 466            |                                                                               |
| Neighborhood Name Engleman Elementary School Area                                                                                                                                              | Map Reference *See below                               | Census Tract 0005.00         |                                                                               |
| Occupant <input type="checkbox"/> Owner <input type="checkbox"/> Tenant <input checked="" type="checkbox"/> Vacant                                                                             | Special Assessments \$ 0                               | <input type="checkbox"/> PUD | HOA \$ 0 <input type="checkbox"/> per year <input type="checkbox"/> per month |
| Property Rights Appraised <input checked="" type="checkbox"/> Fee Simple <input type="checkbox"/> Leasehold <input type="checkbox"/> Other (describe) *Map Reference: 3315-00-0-15206-001-0024 |                                                        |                              |                                                                               |
| Assignment Type <input checked="" type="checkbox"/> Purchase Transaction <input type="checkbox"/> Refinance Transaction <input type="checkbox"/> Other (describe)                              |                                                        |                              |                                                                               |

Lender/Client Bank, NA/Department of Veterans Affairs Address 000 Douglas Street Anywhere, NE 68102

Is the subject property currently offered for sale or has it been offered for sale in the twelve months prior to the effective date of this appraisal? ☐ Yes ☒ No

Report data source(s) used, offering price(s), and date(s). DOM 0, MLS. The buyers of the subject property contracted with the building contractor who had previously purchased the subject tract which was to be used as the site of a single family dwelling.

I ☒ did ☐ did not analyze the contract for sale for the subject purchase transaction. Explain the results of the analysis of the contract for sale or why the analysis was not performed. Arms Length Sale. Purchase Price: \$228,900. Personal Property: Stove microwave, electric range, refrigerator, built-in dishwasher and garbage disposal.

Contract Price \$228,900 Date of Contract 08/06/2010 Is the property seller the owner of public record? ☒ Yes ☐ No Data Source(s) Hall County Records

Is there any financial assistance (loan charges, sale concessions, gift or downpayment assistance, etc.) to be paid by any party on behalf of the borrower? ☐ Yes ☒ No

If Yes, report the total dollar amount and describe the items to be paid. 0

Note: Race and the racial composition of the neighborhood are not appraisal factors.

| Neighborhood Characteristics                                                                      |                                                                                                                 |                 |                                                                                                                         | One-Unit Housing Trends |         | One-Unit Housing |     | Present Land Use % |  |
|---------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------|-----------------|-------------------------------------------------------------------------------------------------------------------------|-------------------------|---------|------------------|-----|--------------------|--|
| Location                                                                                          | <input checked="" type="checkbox"/> Urban <input type="checkbox"/> Suburban <input type="checkbox"/> Rural      | Property Values | <input type="checkbox"/> Increasing <input checked="" type="checkbox"/> Stable <input type="checkbox"/> Declining       | PRICE                   | AGE     | One-Unit         | 60% |                    |  |
| Built-Up                                                                                          | <input checked="" type="checkbox"/> Over 75% <input type="checkbox"/> 25-75% <input type="checkbox"/> Under 25% | Demand/Supply   | <input type="checkbox"/> Shortage <input checked="" type="checkbox"/> In Balance <input type="checkbox"/> Over Supply   | \$ (000)                | (yrs)   | 2-4 Unit         | 10% |                    |  |
| Growth                                                                                            | <input type="checkbox"/> Rapid <input checked="" type="checkbox"/> Stable <input type="checkbox"/> Slow         | Marketing Time  | <input type="checkbox"/> Under 3 mths <input checked="" type="checkbox"/> 3-6 mths <input type="checkbox"/> Over 6 mths | 85                      | Low New | Multi-Family     | %   |                    |  |
| Neighborhood Boundaries North Border - West Capital Avenue; East Border - North U.S. Highway 281; |                                                                                                                 |                 |                                                                                                                         | 375                     | High 85 | Commercial       | 20% |                    |  |
| South Border - Old Potash Highway; West Border - North North Road                                 |                                                                                                                 |                 |                                                                                                                         | 200                     | Pred.5  | Other            | 10% |                    |  |
| Neighborhood Description See attached addenda.                                                    |                                                                                                                 |                 |                                                                                                                         |                         |         |                  |     |                    |  |

Market Conditions (including support for the above conclusions) See attached addenda.

Dimensions 56.18'x31.82'x145'x90.29'x32.43'x142.87' Area 16,246 Sq. Ft. Shape Irregular View N/Res

Specific Zoning Classification R1 Zoning Description Suburban Residential

Zoning Compliance ☒ Legal ☐ Legal Nonconforming (Grandfathered Use) ☐ No Zoning ☐ Illegal (describe)

Is the highest and best use of the subject property as improved (or as proposed per plans and specifications) the present use? ☒ Yes ☐ No If No, describe

See attached addenda.

| Utilities   | Public                              | Other (describe)         | Public         | Other (describe)                    | Off-site Improvements—Type | Public                              | Private                  |
|-------------|-------------------------------------|--------------------------|----------------|-------------------------------------|----------------------------|-------------------------------------|--------------------------|
| Electricity | <input checked="" type="checkbox"/> | <input type="checkbox"/> | Water          | <input checked="" type="checkbox"/> | Street Concrete            | <input checked="" type="checkbox"/> | <input type="checkbox"/> |
| Gas         | <input checked="" type="checkbox"/> | <input type="checkbox"/> | Sanitary Sewer | <input checked="" type="checkbox"/> | Alley None                 | <input type="checkbox"/>            | <input type="checkbox"/> |

FEMA Special Flood Hazard Area ☐ Yes ☒ No FEMA Flood Zone 'X' FEMA Map # 31079C0167D FEMA Map Date 09/26/2008

Are the utilities and off-site improvements typical for the market area? ☒ Yes ☐ No If No, describe

Are there any adverse site conditions or external factors (easements, encroachments, environmental conditions, land uses, etc.)? ☐ Yes ☒ No If Yes, describe

No apparent adverse easements, encroachments, special assessments or other adverse conditions noted at the time of inspection. However, due to an inordinate amount of rainfall throughout the spring and early summer of 2008 and 2010, local ground water levels had increased dramatically resulting in low land flooding and a number of wet basements.

| General Description                                                                                                  |                                                                                                                | Foundation                                                                                           |                                                                                                        | Exterior Description                                 |                                                    | materials/condition                          |                                                                 | Interior |  | materials/condition |  |
|----------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------|------------------------------------------------------|----------------------------------------------------|----------------------------------------------|-----------------------------------------------------------------|----------|--|---------------------|--|
| Units                                                                                                                | <input checked="" type="checkbox"/> One <input type="checkbox"/> One with Accessory Unit                       | <input checked="" type="checkbox"/> Concrete Slab <input type="checkbox"/> Crawl Space               |                                                                                                        | Foundation Walls                                     | Poured Cnrt/VGood                                  | Floors                                       | CTile&Crpt/VGood                                                |          |  |                     |  |
| # of Stories                                                                                                         |                                                                                                                | <input type="checkbox"/> Full Basement <input type="checkbox"/> Partial Basement                     |                                                                                                        | Exterior Walls                                       | BrckVnr&Vnl/VGood                                  | Walls                                        | Painted/VGood                                                   |          |  |                     |  |
| Type                                                                                                                 | <input checked="" type="checkbox"/> Det. <input type="checkbox"/> Att. <input type="checkbox"/> S-Det/End Unit | Basement Area                                                                                        | 1,636 sq. ft.                                                                                          | Roof Surface                                         | CompShingles/VGd                                   | Trim/Finish                                  | Wood/VGood                                                      |          |  |                     |  |
| <input type="checkbox"/> Existing <input type="checkbox"/> Proposed <input checked="" type="checkbox"/> Under Const. |                                                                                                                | Basement Finish                                                                                      | 76 %                                                                                                   | Gutters & Downspouts                                 | Metal/VGood                                        | Bath Floor                                   | CTile/VGood                                                     |          |  |                     |  |
| Design (Style)                                                                                                       | Ranch                                                                                                          | <input checked="" type="checkbox"/> Outside Entry/Exit <input checked="" type="checkbox"/> Sump Pump |                                                                                                        | Window Type                                          | Casement/VGood                                     | Bath Wainscot                                | CTile&Fbrgls/VGd                                                |          |  |                     |  |
| Year Built                                                                                                           | 2010                                                                                                           | Evidence of <input type="checkbox"/> Infestation                                                     |                                                                                                        | Storm Sash/Insulated                                 | None Noted                                         | Car Storage                                  | <input type="checkbox"/> None                                   |          |  |                     |  |
| Effective Age (Yrs)                                                                                                  | New Construction                                                                                               | <input type="checkbox"/> Dampness <input type="checkbox"/> Settlement                                |                                                                                                        | Screens                                              | Included/VGood                                     | <input checked="" type="checkbox"/> Driveway | # of Cars 3                                                     |          |  |                     |  |
| Attic                                                                                                                | <input type="checkbox"/> None                                                                                  | Heating                                                                                              | <input checked="" type="checkbox"/> FWA <input type="checkbox"/> HWBB <input type="checkbox"/> Radiant | Amenities                                            | <input type="checkbox"/> Woodstove(s) # 0          | Driveway Surface                             | Concrete/VGood                                                  |          |  |                     |  |
| <input type="checkbox"/> Drop Stair <input type="checkbox"/> Stairs                                                  |                                                                                                                | <input type="checkbox"/> Other                                                                       | Fuel Nat Gas                                                                                           | <input checked="" type="checkbox"/> Fireplace(s) # 1 | <input type="checkbox"/> Fence none                | <input checked="" type="checkbox"/> Garage   | # of Cars 3                                                     |          |  |                     |  |
| <input type="checkbox"/> Floor                                                                                       | <input checked="" type="checkbox"/> Scuttle                                                                    | Cooling                                                                                              | <input checked="" type="checkbox"/> Central Air Conditioning                                           | <input checked="" type="checkbox"/> Patio/Deck CDck  | <input checked="" type="checkbox"/> Porch CPorch   | <input type="checkbox"/> Carport             | # of Cars 0                                                     |          |  |                     |  |
| <input type="checkbox"/> Finished <input type="checkbox"/> Heated                                                    |                                                                                                                | <input type="checkbox"/> Individual <input type="checkbox"/> Other                                   |                                                                                                        | <input type="checkbox"/> Pool None                   | <input checked="" type="checkbox"/> Other UGSprSys | <input checked="" type="checkbox"/> Att.     | <input type="checkbox"/> Det. <input type="checkbox"/> Built-in |          |  |                     |  |

Appliances ☒ Refrigerator ☒ Range/Oven ☒ Dishwasher ☒ Disposal ☒ Microwave ☐ Washer/Dryer ☐ Other (describe)

Finished area above grade contains: 4 Rooms 2 Bedrooms 2.0 Bath(s) 1,638 Square Feet of Gross Living Area Above Grade

Additional features (special energy efficient items, etc.) Jetted tub, ceiling fans (5), sun lamp (master bathroom), electric garage door openers (2) and concrete patio.

Basement Finish: Family Room 2 Bedrooms and Full Bathroom.

Describe the condition of the property (including needed repairs, deterioration, renovations, remodeling, etc.).

C1. See attached addenda.

Are there any physical deficiencies or adverse conditions that affect the livability, soundness, or structural integrity of the property? ☐ Yes ☒ No If Yes, describe

There were no physical deficiencies or adverse conditions that would affect the subject dwelling's livability, soundness or structural integrity observed at the time of inspection.

Does the property generally conform to the neighborhood (functional utility, style, condition, use, construction, etc.)? ☒ Yes ☐ No If No, describe

There are other dwellings in the area which are similar to the subject dwelling in style, age and quality of construction.



## Uniform Residential Appraisal Report

Case No.  
File # 34-34-6-2222TRA

There are 17 comparable properties currently offered for sale in the subject neighborhood ranging in price from \$200,000 to \$275,000

There are 23 comparable sales in the subject neighborhood within the past twelve months ranging in sale price from \$200,000 to \$275,000

| FEATURE                    | SUBJECT                                 | COMPARABLE SALE # 1                          | COMPARABLE SALE # 2                  | COMPARABLE SALE # 3                     |
|----------------------------|-----------------------------------------|----------------------------------------------|--------------------------------------|-----------------------------------------|
| Address                    | 3812 Sparrow Circle<br>Grand Island, NE | 1315 Independence Avenue<br>Grand Island, NE | 1521 Meadow Road<br>Grand Island, NE | 827 Sagewood Avenue<br>Grand Island, Ne |
| Proximity to Subject       |                                         | 0.80 miles SW                                | 0.25 miles SW                        | 0.58 miles S                            |
| Sale Price                 | \$ 228,900                              | \$ 225,000                                   | \$ 260,000                           | \$ 225,000                              |
| Sale Price/Gross Liv. Area | \$ 139.00 sq. ft.                       | \$ 140.00 sq. ft.                            | \$ 153.39 sq. ft.                    | \$ 148.03 sq. ft.                       |
| Data Source(s)             |                                         | DOM 99                                       | DOM Unk                              | DOM 98                                  |
| Verification Source(s)     |                                         | Hall County Records & RE Agent               | Hall County Records & RE Agent       | Hall County Records & RE Agent          |
| VALUE ADJUSTMENTS          | DESCRIPTION                             | DESCRIPTION                                  | DESCRIPTION                          | DESCRIPTION                             |
| Sale or Financing          |                                         | ArmLth                                       | ArmLth                               | ArmLth                                  |
| Concessions                |                                         | Cash; Unk                                    | Cash; Unk                            | Conv;0                                  |
| Date of Sale/Time          |                                         | s12/10;c11/10                                | s11/10;cUnk                          | s09/10;c06/10                           |
| Location                   | N;Res                                   | N;Res                                        | N;Res                                | N;Res                                   |
| Leasehold/Fee Simple       | Fee Simple                              | Fee Simple                                   | Fee Simple                           | Fee Simple                              |
| Site                       | 16,246 Sq. Ft.                          | 11865 Sq. Ft.                                | 12891 Sq. Ft.                        | 10063 Sq. Ft.                           |
| View                       | N;Res                                   | N;Res                                        | N;Res                                | N;Res                                   |
| Design (Style)             | Ranch                                   | Ranch                                        | Ranch                                | Ranch                                   |
| Quality of Construction    | Q4                                      | Q4                                           | Q2                                   | Q4                                      |
| Actual Age                 | 0                                       | 0                                            | 4                                    | 0                                       |
| Condition                  | C1                                      | C1                                           | C2                                   | C1                                      |
| Above Grade                | Total Bdrms. Baths                      | Total Bdrms. Baths                           | Total Bdrms. Baths                   | Total Bdrms. Baths                      |
| Room Count                 | 4 2 2.0                                 | 8 3 3.0                                      | 5 1 2.0                              | 5 3 2.0                                 |
| Gross Living Area          | 1,638 sq. ft.                           | 1,606 sq. ft.                                | 1,695 sq. ft.                        | 1,520 sq. ft.                           |
| Basement & Finished        | 1,636sf1240sfwo                         | 1300sf1000sfwo                               | 1695sf1275sfwo                       | 1486sf1100sfwo                          |
| Rooms Below Grade          | 1rr2br1.0ba0o                           | 1rr1br0.75ba                                 | 1rr2br1.0ba1o                        | 1rr1br1.0ba0o                           |
| Functional Utility         | Average                                 | Average                                      | Average                              | Average                                 |
| Heating/Cooling            | FA/CenAC                                | FA/CenAC                                     | FA/CenAC                             | FA/CenAC                                |
| Energy Efficient Items     | CFans&SunLp                             | None Noted                                   | WSftr                                | HtPmp/CAC/H                             |
| Garage/Carport             | Tri/Att/Op                              | Tri/Att/Op                                   | Tri/Att/Op                           | Tri/Att/Op                              |
| Porch/Patio/Deck           | CPorCDckPatio                           | CPorCDck                                     | CPorCDck                             | CPorCDck                                |
| Miscellaneous Features     | JetTb&Fp                                | None Noted                                   | WPTub&Fp                             | WPTub&Fp                                |
| Miscellaneous Features     | SprSys&Yard                             | SprSys&Yard                                  | SprSysYrd&Shd                        | SprSysYrd&Shd                           |
| Appliances                 | RoDwDspMcRf                             | None Noted                                   | RoDwDspMc                            | RoDwDspMcRf                             |
| Net Adjustment (Total)     |                                         | \$ 7,290                                     | \$ -4,700                            | \$ 8,617                                |
| Adjusted Sale Price        |                                         | \$ 232,290                                   | \$ 255,300                           | \$ 233,617                              |
| of Comparables             |                                         |                                              |                                      |                                         |

☒ did ☐ did not research the sale or transfer history of the subject property and comparable sales. If not, explain See below.

My research ☒ did ☐ did not reveal any prior sales or transfers of the subject property for the three years prior to the effective date of this appraisal.

Data source(s) Hall County Records

My research ☒ did ☐ did not reveal any prior sales or transfers of the comparable sales for the year prior to the date of sale of the comparable sale.

Data source(s) Hall County Records

Report the results of the research and analysis of the prior sale or transfer history of the subject property and comparable sales (report additional prior sales on page 3).

| ITEM                             | SUBJECT               | COMPARABLE SALE # 1   | COMPARABLE SALE # 2   | COMPARABLE SALE # 3 |
|----------------------------------|-----------------------|-----------------------|-----------------------|---------------------|
| Date of Prior Sale/Transfer      | 07/28/2010            | 03/22/2010            | 04/12/2006            | 05/28/2009          |
| Price of Prior Sale/Transfer     | \$36000.00 (Lot Only) | \$36000.00 (Lot Only) | \$33000.00 (Lot Only) | Exempt (Lot Only)   |
| Data Source(s)                   | Hall County Records   | Hall County Records   | Hall County Records   | Hall County Records |
| Effective Date of Data Source(s) | 07/29/2010            | 03/23/2010            | 04/13/2006            | 05/28/2009          |

Analysis of prior sale or transfer history of the subject property and comparable sales: The subject property was purchased by the building contractor in July of 2010 as the site of a custom built, single family dwelling. Comparable Sale #1: This tract was purchased by a local contractor for use as the site of a single family dwelling for use prior to placing it on the market on 07/29/2010 for \$230,000. The property was placed under contract for \$225,000 on 11/05/2010. Comparable Sale #3: This tract was purchased by the local public school district as the site of a custom built, single family dwelling which was constructed the the Grand Island Senior High School's industrial arts program. The property was placed upon the market on 03/09/2010, with an asking price of \$232,900, although the list price at the time of sale was noted as being \$228,900.

## Summary of Sales Comparison Approach

Comparable Sale #2: A Quality adjustment (5%) was warranted, as this dwelling was custom built by the contractor for his own personal residence. As a result, upgrades include: solid oak floors, hickory kitchen cabinets, solid core wood doors, a hi-def theater room and a custom built yard shed. Each of the comparable properties were found to share many similarities with the subject property. However, it was necessary to utilize the sales of 3 bedroom dwellings (Comparable Sales #1 and #3) as they are representative of similarly sized dwellings which had recently sold within this portion of the community. It was also necessary to utilize the sale of a 1 bedroom dwelling (Comparable Sale #2) to better represent the sale of a similar dwelling which was also found to lack 3 (above grade) bedrooms, with that dwelling also being located in very close proximity to the subject property. The Gross Living Area (GLA) adjustment for Comparable Sale #3 was arrived at by applying 25% of the sale's indicated Price/GLA to the difference found in the dwelling's size after having been compared to the subject dwelling.

Indicated Value by Sales Comparison Approach \$ 230,000

Indicated Value by: Sales Comparison Approach \$230,000

Cost Approach (if developed) \$ 259,135

Income Approach (if developed) \$ N/A

As the Income Approach to Value is not generally recognized as a basis for buying by the local market, it has not been utilized in this real estate appraisal report.

This appraisal is made ☐ "as is", ☐ subject to completion per plans and specifications on the basis of a hypothetical condition that the improvements have been completed, ☒ subject to the following repairs or alterations on the basis of a hypothetical condition that the repairs or alterations have been completed, or ☐ subject to the following required inspection based on the extraordinary assumption that the condition or deficiency does not require alteration or repair.

See attached addenda.

Based on a complete visual inspection of the interior and exterior areas of the subject property, defined scope of work, statement of assumptions and limiting conditions, and appraiser's certification, my (our) opinion of the market value, as defined, of the real property that is the subject of this report is \$ 230,000, as of December 20, 2010, which is the date of inspection and the effective date of this appraisal.



# Uniform Residential Appraisal Report

Case No.  
File # 34-34-6-2222TRA

The number of properties currently being offered for sale, as well as the number of properties which had sold within the past 12 months, have both been taken from the current Multiple Listing Service which considers the northwestern portion of the community as being the 'subject neighborhood'.

The purpose of this report is to estimate the market value of the subject property as defined herein.

The function of this report is to assist the client in evaluating the subject property for lending purposes.

The intended use of this appraisal report is for the lender/client. The intended use is to evaluate the property that is the subject of this appraisal for a mortgage finance transaction, subject to the stated scope of work, purpose of the appraisal, reporting requirements of this appraisal report form and definition of market value. No additional intended users are identified by the appraiser.

As no environmental survey was provided at the time of the property's inspection, and as the appraiser is not an expert in the field of environmental hazards, this report has been based on no hazardous materials being present at the time of inspection.

ADDITIONAL COMMENTS

## COST APPROACH TO VALUE (not required by Fannie Mae)

Provide adequate information for the lender/client to replicate the below cost figures and calculations.  
Support for the opinion of site value (summary of comparable land sales or other methods for estimating site value) The estimated market value of the subject tract, based on its being in an 'unimproved' condition, has been derived from sales of similar comparable tracts which were on file in the real estate appraiser's office.

|                                                                                                                                                                                                                            |                                            |       |         |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------|-------|---------|
| ESTIMATED <input type="checkbox"/> REPRODUCTION OR <input checked="" type="checkbox"/> REPLACEMENT COST NEW                                                                                                                | OPINION OF SITE VALUE                      | = \$  | 36,000  |
| Source of cost data: Marshall and Swift Valuation Service                                                                                                                                                                  | Dwelling 1,638 Sq. Ft. @ \$ 88.72          | = \$  | 145,323 |
| Quality rating from cost service: Average Effective date of cost data: 12/2009                                                                                                                                             | 1,638 Sq. Ft. @ \$ 32.22                   | = \$  | 52,712  |
| Comments on Cost Approach (gross living area calculations, depreciation, etc.)                                                                                                                                             | CPorch, CDeck, Patio & UG Sprinkler System | = \$  | 12,203  |
| As the subject dwelling is to be newly completed, there was no physical obsolescence observed at the time of this report.                                                                                                  | Garage/Carport 876 Sq. Ft. @ \$ 22.60      | = \$  | 19,798  |
| As many of the similarly sized dwellings which have been newly constructed provided a third (above grade) bedroom, while the subject dwelling provides only 2, a nominal degree of functional obsolescence was determined. | Total Estimate of Cost-New                 | = \$  | 230,036 |
| No external obsolescence was observed at the time of inspection.                                                                                                                                                           | Less Physical Functional External          |       |         |
|                                                                                                                                                                                                                            | Depreciation 0 6,901                       | = \$( | 6,901)  |
|                                                                                                                                                                                                                            | Depreciated Cost of Improvements           | = \$  | 223,135 |
|                                                                                                                                                                                                                            | "As-is" Value of Site Improvements         | = \$  |         |
| Estimated Remaining Economic Life (HUD and VA only) 55 Years                                                                                                                                                               | Indicated Value By Cost Approach           | = \$  | 259,135 |

## INCOME APPROACH TO VALUE (not required by Fannie Mae)

Estimated Monthly Market Rent \$ X Gross Rent Multiplier = \$ Indicated Value by Income Approach  
Summary of Income Approach (including support for market rent and GRM) As the Income Approach to Value is not generally recognized as a basis for buying by the local market, it has not been utilized in this real estate appraisal report.

## PROJECT INFORMATION FOR PUDs (if applicable)

Is the developer/builder in control of the Homeowners' Association (HOA)? ☐ Yes ☐ No Unit type(s) ☐ Detached ☐ Attached  
Provide the following information for PUDs ONLY if the developer/builder is in control of the HOA and the subject property is an attached dwelling unit.  
Legal name of project  
Total number of phases Total number of units Total number of units sold  
Total number of units rented Total number of units for sale Data source(s)  
Was the project created by the conversion of an existing building(s) into a PUD? ☐ Yes ☐ No If Yes, date of conversion  
Does the project contain any multi-dwelling units? ☐ Yes ☐ No Data source(s)  
Are the units, common elements, and recreation facilities complete? ☐ Yes ☐ No If No, describe the status of completion.  
Are the common elements leased to or by the Homeowners' Association? ☐ Yes ☐ No If Yes, describe the rental terms and options.  
Describe common elements and recreational facilities